Reportable Segment Operating Income

Segment operating income of $348.2 million for fiscal year 2019 increased $113.7 million or 48.5% from $234.5 million for fiscal year 2018. The increase in operating income was primarily attributable to an increase in gross margin of $118.4 million, which was driven by an increase in net sales, as well as continued margin improvement due to our restructuring activities, vertical integration, and manufacturing process improvements resulting from our cost reduction activities. Also contributing to the increase in operating income was a $2.5 million decrease in SG&A expenses and a $0.5 million decrease in net loss on write down and disposal of long-lived assets. Partially offsetting these improvements was a $3.9 million increase in restructuring charges and a $3.8 million increase in R&D expenses.

Film and Electrolytic

The table below sets forth net sales, operating income and operating income as a percentage of net sales for our Film and Electrolytic reportable segment for the fiscal years 2019 and 2018 (amounts in thousands, except percentages):

	For the Fiscal Years Ended			
	March 31, 2019		March 31, 2018	
	Amount	% to Net Sales	Amount	% to Net Sales
Net sales [1]	$ 206,240		$ 201,977	
Segment operating income [1]	8,183	4.0%	3,622	1.8%

[1] *Fiscal year ending March 31, 2018 adjusted due to the adoption of ASC 606.*

Net Sales

Film and Electrolytic net sales of $206.2 million in fiscal year 2019 increased $4.3 million or 2.1% from $202.0 million in fiscal year 2018. The increase in net sales was primarily driven by a $10.5 million increase in distributor sales across the Americas and EMEA regions. Also contributing to the increase in net sales was $1.7 million increase in EMS sales in the Americas region and a $0.8 million increase in OEM sales in the JPKO region. These increases in net sales were partially offset by a $5.6 million decrease in OEM sales across the APAC and EMEA regions and a $3.1 million decrease in distributor sales across the APAC and JPKO regions. In addition, there was an unfavorable impact of $0.1 million from foreign currency exchange primarily due to the change in the value of the Euro compared to the U.S. dollar.

Reportable Segment Operating Income

Segment operating income of $8.2 million in fiscal year 2019 increased $4.6 million from $3.6 million in fiscal year 2018. The increase in operating income was primarily attributable to a $4.8 million increase in gross margin driven by an increase in net sales, as well as continued margin improvement due to our restructuring activities and manufacturing process improvements resulting from our cost reduction activities. The increase was also attributed to a $3.1 million decrease in restructuring charges and a $0.6 million decrease in SG&A expenses. These improvements were partially offset by a $3.3 million decrease in net gain on write down and disposal of long-lived assets and a $0.6 million increase in R&D expenses.

Electro-Magnetic, Sensors, and Actuators

The following table sets forth net sales, operating income, and operating income as a percentage of net sales for our MSA reportable segment in fiscal years 2019 and 2018 (amounts in thousands, except percentages).

	For the Fiscal Years Ended			
	March 31, 2019		March 31, 2018	
	Amount	% to Net Sales	Amount	% to Net Sales
Net sales	$ 240,740		$ 226,964	
Segment operating income	22,546	9.4%	15,694	6.9%

Net Sales

MSA net sales of $240.7 million in fiscal year 2019 increased $13.8 million or 6.1% from $227.0 million in fiscal year 2018. The increase in net sales was primarily driven by a $15.0 million increase in OEM sales in the JPKO region. Also contributing to the increase in net sales was a $4.3 million increase in EMS sales across all regions and a $3.7 million increase in distributor sales across the Americas and EMEA regions. These increase in net sales were partially offset by a $5.5 million